limited your losses to 10 percent, but with the volatility in today's market, a stock almost always hits the stop. It's uncanny how stop orders seem to guarantee that the stock will drop 10 percent, the shares are sold, and instead of protecting against a loss, the investor has turned losing into a foregone conclusion. You would have lost Taco Bell ten times over with stop orders!

Show me a portfolio with 10 percent stops, and I'll show you a portfolio that's destined to lose exactly that amount. When you put in a stop, you're admitting that you're going to sell the stock for less than it's worth today.

It's equally uncanny how stocks seem to shoot straight up after the stop is hit, and the would-be cautious investor has been sold out. There's simply no way to rely on stops as protection on the downside, nor on artificial objectives as goals on the upside. If I'd believed in "Sell when it's a double," I would never have benefited from a single big winner, and I wouldn't have been given the opportunity to write a book. Stick around to see what happens—as long as the original story continues to make sense, or gets better—and you'll be amazed at the results in several years.